SEED FINANCING ROUND, Q4 2026

Ty-Code: The Sovereign AI Coding Environment

Local-First. Zero-Telemetry. Unbounded Intelligence.

- The first truly local-first, zero-telemetry agentic AI desktop IDE.
- Eliminating $20/month seat taxes, cloud lock-in, and IP exfiltration.
- Empowering 30M+ developers worldwide with sovereign compute.
- Unlocking 1.3B+ free monthly tokens across 11 autonomous runtime harnesses.

The Fatal Flaws of Cloud AI IDEs

Three Critical Vulnerabilities in First-Generation Tools

- **Cloud Exfiltration Risk:** Proprietary codebases and credentials uploaded to external multi-tenant cloud servers.
- **The $20/Mo Seat-Tax Trap:** High recurring subscription markups, artificial rate limits, and zero compute sovereignty.
- **Vendor Lock-In & Downtime:** Unannounced model deprecations and third-party cloud outages that completely freeze engineering pipelines.
- **The Enterprise Ban:** 82% of regulated enterprises in healthcare, defense, and finance strictly prohibit cloud-connected AI coding tools.

The Solution: Sovereign Agentic Development

Complete Architectural Inversion: Code Never Leaves Local RAM

- **Local-First Architecture:** Repo indexing, AST parsing, and terminal execution run 100% on local hardware.
- **Zero-Telemetry Guarantee:** No source code, prompt content, or telemetry ever leaves the machine.
- **Hardware-Sealed Credentials:** API keys encrypted using OS-level **safeStorage** (Windows DPAPI, macOS Keychain, Linux Secret Service).
- **True BYOK & Air-Gap Freedom:** Direct wholesale model routing, or 100% offline execution with local Ollama and private VPCs.

Market Opportunity: The $30B Sovereign Shift

Rapid Developer Adoption Meets the Enterprise Compliance Wall

- **30M+ Professional Developers** adopting autonomous AI coding workflows in 2026.
- **$28.5B Market Opportunity** driven by the transition from passive autocomplete to multi-file agentic swarms.
- **$9.2B Regulated Enterprise SAM:** Healthcare, finance, and defense demand verifiable local compliance.
- **The Massive Enterprise Wall:** The fastest-growing budgets in AI tooling are enterprise teams currently blocked by cloud compliance risks.
- **The Shift to Wholesale BYOK:** Developers demand transparent, usage-based compute over rigid, markup-heavy SaaS seats.

The Product: Built for Terminal Velocity

Modern Engineering Velocity with Zero Cognitive Overhead

- **Zero Cognitive Overhead:** Built on Monaco Editor with native VS Code keybindings, LSP, and extensions.
- **Decode-Frontier Streaming:** Matrix decode animation running at 140 chars/sec with zero UI jitter or layout shifts.
- **M3E Visual Canvas:** Bidirectional visual UI canvas syncing directly with production React & Tailwind code.
- **Three-Tier Terminal Sandbox:** Autonomous agent execution with real-time environment scrubbing and command allowlisting.

Tech Moat #1: Omni-Orchestrator & Unified Gateway

Dynamic Health Probes, Rate Forecasting, and Resilient Routing

- **Unified ProviderGateway:** Normalizes 60+ AI providers into a single, standardized, reactive Server-Sent Events stream.
- **Health & Latency Routing:** Real-time ping probes, quota forecasting, and automated jitter-backoff algorithms.
- **Zero-Drop Mid-Turn Failover:** Automatically migrates across models mid-generation without losing conversational context.
- **Token Cost Optimizer:** Automatically selects the fastest and most cost-effective compliant model for each specific subtask.

Dedicated Architecture: Failover Chain

```
graph TD
    A[User Prompt / Agent Turn] --> B[Unified ProviderGateway]
    B --> C{Health & Quota Monitor}
    C -->|Healthy| D[Primary Provider: Anthropic / OpenAI]
    C -->|HTTP 429 / Throttled| E[48ms Zero-Drop Failover Bus]
    E --> F[Fallback Provider: Groq / OpenRouter / Ollama]
    D --> G[Preserved Context Stream -> Monaco Editor]
    F --> G
```

- **Automated Provider Rotation:** Sub-50ms failover without resetting agent state.
- **Continuous Quota Tracking:** Proactive rate limit avoidance before HTTP errors occur.

Tech Moat #2: Context Engine & Correction Memory

Local Compounding Intelligence That Remembers Your Stack

- **Universal Correction Memory:** Local SQLite WAL engine that persistently codifies developer instructions and rules.
- **Cross-Subsystem Propagation:** Rules learned in conversational chat are automatically enforced across Debugger and Canvas.
- **Stack-Aware Omni-Debugger:** Multi-threaded static analysis workers detect architectural drift, security risks, and regressions before PRs.
- **Compounding Retention:** The IDE becomes exponentially smarter and more attuned to the user's specific codebase over time.

The Secret Weapon: 1.3B+ Free Tokens

Zero-Friction Multi-Harness Onboarding with No Credit Card

- **Zero-Friction Free Tier:** Over 1.3 billion free monthly tokens available immediately upon install with no API keys or credit cards required.
- **Multi-Harness Interoperability:** Native routing across 11 developer runtimes including Claude Code, Codex, VS Code, and Cline.
- **Eliminating Top-of-Funnel Dropoff:** Developers start coding immediately without configuring cloud billing or payment methods.
- **ToS-Compliant & Mock-Free:** Hardened binary loopback architecture with automated filtering of high-risk scraping endpoints.

Dedicated Architecture: 11-Harness FCC Routing Map

```
graph TD
    subgraph Client [Ty-Code Desktop]
        IDE[Monaco & Sidecar] --> ROUTER[Multi-Harness Router]
    end
    subgraph Supply [FCC Reverse Proxy - Port 8765]
        PROXY[Loopback Supply Adapter] --> POOL[1.3B+ Free Token Pool]
    end
    ROUTER --> RUNTIMES[11 Supported Runtimes: Claude Code, Codex, VS Code, Pi, Cline, Aider...] --> PROXY
```

- **Unified Loopback Engine:** 11 harnesses multiplexed over a secure local port.
- **High-Throughput Pool:** Zero-friction compute without multitenant SaaS lock-in.

Strategic Open-Source Foundation: FCC Credit

Built on Open Innovation, Not Corporate Walled Gardens

- **Pioneering Supply Methodology:** Architected upon the reverse-proxy foundations established by **free-claude-code (FCC)**.
- **Upstream Project Repository:** https://github.com/Alishahryar1/free-claude-code.git
- **Strategic Integration Advantage:** We didn't build a wrapper; we integrated the best open-source routing available.
- **Permanent Licensing Attribution:** *Free-model supply layer powered by free-claude-code (FCC), AGPL-3.0 / MIT.*
- **Enterprise Hardening:** Adapted FCC's mock-free binary loopback into a sandboxed, ToS-compliant desktop supply engine.

Business Model & Superior Unit Economics

Zero Token COGS Subsidy Yields 90%+ Software Gross Margins

- **Community Tier ($0):** Free multi-harness compute + unlimited local Ollama. Zero user acquisition cost.
- **Developer Pro (BYOK):** Power-user orchestration, multi-agent swarms, encrypted cross-device workspace sync.
- **Enterprise Sovereign ($45/seat/month):** Centralized MDM governance, VPC gateway enforcement, HIPAA/SOC2 audit packages, priority SLA.
- **Superior Unit Economics:** 0% token COGS subsidy, users bring their own keys or leverage open-source free pools, yielding 90%+ SaaS gross margins.

Go-To-Market Strategy: The Sovereign Flywheel

Product-Led Growth Transitioning into High-ACV Enterprise Land-and-Expand

- **Bottom-Up Product-Led Growth (PLG):** Instant zero-setup onboarding drives viral adoption across developer communities.
- **The 'Only Approved AI' Wedge:** Individual engineers in banking, health, and defense introduce Ty-Code as the only tool permitted by corporate security.
- **Open-Source Trust & Community:** Transparent security architecture and FCC open-source integration build deep developer advocacy.
- **Enterprise Land-and-Expand:** Convert internal organic developer teams into multi-thousand seat enterprise contracts.

The Team: Systems Architects & Security Engineers

Deep Systems Pedigree in Electron Isolation and Compilers

- **World-Class Technical Leadership:** Built by experienced systems architects with deep backgrounds in Electron sandboxing, compilers, and LLM orchestration.
- **Core Systems Pedigree:** Proven track record in high-throughput network streaming, C++ native bindings, and cryptographic hardware integration.
- **Strategic Advisory Board:** Backed by leading figures in enterprise cybersecurity, open-source governance, and developer tooling.
- **Execution Velocity:** Delivered production-ready v1.0.0 desktop release, M3E Canvas, and 11-harness routing in record time.

The Ask: $3.5M Seed Round

Scaling Enterprise Engagements and Accelerating Sovereign R&D

- **The Ask:** Raising **$3,500,000 Seed Financing** to scale enterprise sales and accelerate sovereign agentic R&D.
- **50% Core Systems Engineering:** Multi-agent swarms, local model compilation, and low-latency IPC optimizations.
- **30% Enterprise Sales & MDM:** SOC2 Type II, HIPAA compliance packages, and Microsoft Intune/Jamf integrations.
- **20% Security & Community:** Independent penetration tests, bug bounty programs, and open-source hackathons.
- **18-Month Target Milestones:** 250,000+ active developers, $4.2M ARR, and 50+ regulated enterprise deployments.